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Creating and processing returns and exchanges

You can create and manage returns directly from your Shopify admin. When you create a return, you can send your customer return shipping information, such as shipping instructions or return labels, and communicate the estimated refund. You can also add exchange items to a return, and communicate the estimated balance that might be due. Offering exchanges helps you retain revenue and potentially increase revenue through upsells.

After you receive return items, you need to process your return, and issue a [refund](#), collect payment, or proceed with an even exchange. If your return has exchange items, then you also need to fulfill the exchange items.

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Considerations for creating and processing returns

Before you create and process a return, review the following considerations:

- You can create a return only for fulfilled items that haven't been refunded.
- You can't add custom items as exchange items.

- If you're on the Shopify Plus plan, then you can activate the exchanges feature using the [feature test drive](#).
- Exchange items inventory isn't reserved until you process the return.
- You can't add exchange items to orders with duties, but you can create a return for orders with duties.
- Order level discounts can't be applied to exchange items, but you can add a product discount to exchange items.
- To create returns, you need to be the store owner or have the **Return** permission. To refund a return, you need to have the **Refund to original payment** or **Refund to store credit** permission, depending on the refund method. Learn more about [Staff permissions](#).
- Returns and exchanges share the same limitations as order editing. Review the [considerations for editing orders](#) for more information.

Understanding return financials

When you create a return, the financial outcome is calculated automatically. Return fees and exchange items are applied against returned items to determine whether a refund is due or payment needs to be collected. The order total updates after you process a return to display any remaining balance and the return is also reflected in your total sales reports. You can issue a refund immediately or wait and issue it later.

For returns with exchanges, customers get an email listing the items being exchanged and returned. If a customer owes you money, then they can pay after you process the return. You can send them an invoice when you process a return or later from the order details.

You can select which return items to process. The financial outcome of partially processed items might differ from processing everything at the same time. For example, processing only exchanges might require payment, even if processing everything would result in a refund. Consider the financial impact when choosing which items to process together. Avoid issuing refunds during partial processing if you'll need to collect payment later for remaining items.

Review the following table to learn more about the flow of funds in returns and exchanges and what actions you need to take in specific situations:

Situation	Action
You owe the customer money for a return or an exchange where the new items are less expensive than the returning items.	You need to process a return and issue a refund to your customer. You can issue a refund immediately or wait and issue it later .

Situation	Action
The customer owes you money for a return or an exchange where new items and fees are more expensive than the returning items.	You need to <u>process a return</u> . You can collect the balance by sending an invoice when processing a return, or capture payment or mark your order as paid after you process a return.
New items and returning items have the same value, and it's an even exchange.	You need to <u>process a return</u> . The money paid for the returning items is applied to the new items.

Create a return

You can create a return from your Shopify admin. When you create a return, the return shipping fee and restocking fee are displayed based on your return rules. You can also edit the return fees for a specific return. The restocking fee can be edited by return or by item, but the return shipping fee can be edited only by return. You can also add exchange items to your return.

Return reasons that you can choose from vary based on the product category. For example, apparel products display reasons such as **Too big** or **Too small**. Products in other categories display their own category-specific reasons. These category-specific return reasons are available across your Shopify admin, POS, and self-serve returns. You can also view return reasons in your analytics to identify trends and understand why customers return products.

Steps:

Desktop

1. From your Shopify admin, go to Orders .
2. Click the order that you want to return.
3. Click **Return**.
4. In the **Select quantity to return** section, enter the quantity of items that you want to return.
5. In the **Return reason**, select a return reason.
6. Optional: To edit a restocking fee or a return shipping fee, complete the following steps:
 - a. In the **Summary** section, click **Restocking fee** or **Return shipping**.
 - b. Enter a new restocking fee or return shipping.
 - c. Click **Done**.
 - d. Optional: You can also edit the restocking fee on an individual return item by clicking the fee in the line item total price.
7. Optional: To add exchange items to a return, complete the following steps:

- a. In the **Exchange items** section, click **Add products**.
 - b. Select the exchange items, and then click **Done**.
 - c. Optional: To apply a product discount to exchange items, complete the following steps:
 - a. For the exchange item that you want to apply a discount for, click the exchange item's price.
 - b. Enter a discount type, discount value, and a reason for discount.
 - c. Click **Done**.
8. In the **Return shipping options** section, select one of the following options:
- Select **Create a return label in Shopify** to [create a return shipping label for your customer](#). This option is available only if your primary location and customer shipping address are both in the United States.
 - Select **Upload a return label** to upload an existing return shipping label for your customer. You can upload a PDF, PNG, or JPEG file for your return label or add a return label URL. You can also enter a **Tracking number** and **Shipping carrier**.
 - Select **No shipping required** to create a return without any return shipping information.
9. Click **Create return**.
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Mobile

Process a return

Tip

If you're on the Shopify Plus plan, then you can activate exchanges and return enhancements using the [feature test drive](#).

After you receive and inspect your return items, you need to process your return. You can process a return either partially or all at the same time, depending on which return or exchange items you're ready to process.

When you process a return, the restocking fee is calculated by how many items you choose to process in a return. The return shipping fee is applied the first time you process the return.

When you process a return, you can issue a refund immediately or choose to issue a refund later. If the return results in an amount to collect, then you can send an invoice when processing the return or collect payment from the customer after you process, through the payment card on the order page.

Steps:

Desktop

1. From your Shopify admin, go to [Orders](#) .
2. Click the order that you want to process a return for.
3. In the **Return in progress** section where you want to process a return, click **Process return**.
4. Review the return items that you expect to receive:
 - a. In the **Return items to receive** section, select the return items that you want to process.
 - b. Optional: To restock a return item, select **Restock at**, and then choose a location where you want to restock your return item.
5. In the **Exchange items to release** section, select the exchange items that you want to release.
6. Optional: To refund shipping, in the **Refund shipping** section, select **Shipping**, and then enter the amount that you want to refund for shipping.
7. Depending on the adjustment to your order, issue a refund or collect payment:
 - If you owe money to your customer, then in the **Issue refund** section, choose whether to issue a refund now or later:
 - To issue a refund now, select **Now**, and then click **Process and refund**.
 - To issue a refund later, select **Later**, and then click **Process return**. You can [issue a refund later separately](#).
 - If your customer owes you money, then you can send an invoice when processing the return or collect payment from the payment card on the order page after you process.
8. Optional: Fulfill your exchange items:
 - a. Optional: If you await payment for exchange items, then they're put on hold. You can wait for payment or click **Release fulfillment** to release the fulfillment before you receive payment from your customer.
 - b. In the **Unfulfilled** section where you want to fulfill exchange items, [fulfill the exchange items the same way that you fulfill your regular orders](#).

Mobile

Issue a refund for return items

You can [issue a refund for return items when you process a return](#) or issue a refund separately at a later time.

If you owe money to your customer, then a banner with outstanding balance is displayed on your order. The amount that you owe your customer is automatically added to the **Refund amount** field when issuing a refund.

Note

If the refund screen only allows a limited amount after store credit was previously issued, then refer to [limited refund amount after issuing store credit](#).

Note

If you don't have both the **Refund to original payment** and **Refund to store credit** permissions, then the **Refund method** section doesn't display, and the **Refund amount** section displays only the method that you have permission to refund to.

Steps:

1. From your Shopify admin, go to [Orders](#) .
2. Click the order that you want to issue a refund.
3. Click **Refund**.
4. Review the items that you want to refund.
5. Optional: To refund shipping, in the **Refund shipping** section, select **Shipping**, and then enter the amount that you want to refund for shipping.
6. Optional: In the **Reason for refund** section, enter a reason for issuing a refund.
7. Optional: If you don't want to send a notification to your customer when you issue the refund, then deselect **Send notification once refund is finalized**. This option is selected by default.
8. In the **Refund method** drop-down menu, select **Original payment**, **Store credit**, or **Original payment & store credit**, depending how you want to refund the order.
9. In the **Refund amount** section, review the refund amount that you want to issue. If you're refunding to store credit, then click the  icon to choose whether the store credit expires, and set an expiry date if applicable.
10. Click **Refund** to refund the customer's order.

Remove return items from a return

If a customer doesn't send a return package or an item is missing from a returned package, then you can remove the item from the return. After you remove a return item, your order balance is adjusted accordingly.

You can't remove items that have already been refunded or restocked from a return.

Steps:

1. From your Shopify admin, go to [Orders](#) .
2. Click the order that you want to remove return items from.

3. In the **Return in progress** section, click
4. Click **Remove return items**.
5. Select the items that you want to remove from a return.
6. Click **Remove item**, and then click **Remove item** to confirm.

Managing your return

You can close and cancel a return. You can also open a closed return, but you can't open a canceled return.

Cancel a return

If you create a return by mistake or your customer has changed their mind about requesting a return, then you can cancel the return. To cancel a return with exchange items, you need to cancel a return, and then [edit the order](#) to remove the unfulfilled exchange items.

You can cancel a return only in the following scenarios:

- The return isn't refunded.
- The return isn't restocked.
- The return is open and not **Marked as returned**.
- The return doesn't have a return label.
- The fulfillment for the return isn't canceled.

After you cancel a return, you can't reopen it, but you can create a new return.

Steps:

1. From your Shopify admin, go to [Orders](#) [↗](#) .
2. Click the order for the return that you want to cancel.
3. On the **Return in progress** card, click ..., and then click **Cancel return**.
4. Click **Cancel return** to confirm.

Open a return

If you have any outstanding tasks to complete for a return, then you can open a return.

Steps:

1. From your Shopify admin, go to [Orders](#) [↗](#) .
2. Click the order for the return that you want to open.
3. On the **Returned** card, click ..., and then click **Open return**.

Close a return

After you complete all outstanding tasks for the return, you can close the return. The return closes automatically when every item is processed and every return item is restocked. When exchanging items, you don't need to refund every item unless you owe money to your customer.

Steps:

1. From your Shopify admin, go to [Orders](#) .
2. Click the order that you want to close a return for.
3. On the **Return in progress** card, click ..., and then click **Close return**.

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